AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B391

Management Accounting and Finance

Final Examination - Version (B)

2025-2026 / Summer Semester

1 – September – 2026

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Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 3 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinati
- Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (30 Marks)

Discuss the following

1- **Purchasing power parity (PPP). (20 Marks)**

2- **Discuss Long-term debt financing: debt denomination: (10 Marks)**

Question 2 (30 marks)

Khalid LLC, plans to buy a new machine. The cost of the machine, payable immediately, is £800,000 and the machine has an expected life of 5 years. Additional investment in working capital of £90,000 will be required at the start of the first year of operation, and this working capital will be released at the end of 5 years. Also at the end of 5 years, the machine will be sold for scrap, with the scrap value expected to be 5% of the initial purchase cost of the machine. The machine will not be replaced.

Production and sales from the new machine are expected to be 100,000 units per year. Each unit can be sold for £25 per unit and will incur variable costs of £11 per unit. Incremental fixed costs arising from the operation of the machine will be £160,000 per year. Khalid LLC, has an after-tax cost of capital of 11% which it uses as a discount rate in project appraisal. The company pays tax on profits one year in arrears at an annual rate of 30% per year. Capital allowances and inflation should be ignored.

Required:

A. Calculate the net present value of investing in the new machine and make a recommendation about whether the investment should go ahead based on the NPV. (Round to the nearest £1000.) **(25 Marks)**

B. Calculate the Profitability Index (PI). **(Marks: 5)**

Question 3 (10 marks)

Peter plc can borrow $350,000,000 at LIBOR plus a lending margin of 0.80 per cent per annum on a three-month rollover basis from Barclays in London. Suppose that three-month LIBOR is currently 4 per cent. In addition, suppose that over the second three-month interval LIBOR falls to 4.75 per cent. How much will Peter plc pay in interest to Barclays over the six-month period for the Eurodollar loan?

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Question 4 (30 marks)

John plc is a UK-based company that produces smoke detectors. The table below shows the expected cash inflows and outflows of the company in the next 5 years. The company exports to Belgium and Mexico and imports raw materials from China. The table also reports the expected value of euro (EUR), Mexican peso (MXN) and Chinese Yuan (CNY) over the next 5 years.

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Expected cash inflows						
Exports to Belgium (million EUR)	82	88	89	80	90	92
Exports to Mexico (million pesos)	141	142	145	150	153	158
Domestic sales (million sterling)	102	102	100	105	110	115
Expected cash outflows						
Running costs (million sterling)	90	90	92	95	100	101
Imports from China (million Yuan)	152	152	150	149	153	155
Expected FX						
EUR per GBP	1.16	1.17	1.2	1.22	1.22	1.22
MXN per GBP	29	29.1	29.1	29.4	29.5	30
CNY per GBP	9.11	9.11	9.1	9.09	9.08	9.08

Required:

On the basis of the information above, what is the value of the firm, assuming WACC = 7.5%? (Note: The DCF model gives the value of the company when applied over a very long horizon. For simplicity reasons, to answer this question apply the model for the 6 years shown in the table.)

[End of Exam]

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